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What's News

Business & Finance

- ◆ **Google should sell** two of its ad businesses to address antitrust issues, the Justice Department said, after a judge ruled last month that the tech giant had created a monopoly in advertising. **B1**
- ◆ **Malaysia is seeking** to extradite former Goldman Sachs partner Tim Leissner, a sign that the fallout from the 1MDB scandal isn't over for the Wall Street giant. **B1**
- ◆ **Major U.S. stock indexes** fell, with the S&P 500 declining 0.8% and the Dow industrials and the Nasdaq both retreating 0.9%. **B10**
- ◆ **Rivian cut its outlook** for vehicle deliveries and raised expectations for capital expenditures for the full year, as evolving tariff policies sway guidance for the EV maker. **B1**
- ◆ **DoorDash swung** to a first-quarter profit and said it struck deals to acquire British food-delivery company Deliveroo and software concern SevenRooms. **B4**
- ◆ **Brookfield raised** nearly \$6 billion for its new real-estate fund in the first quarter in a sign of investors' appetite for distressed commercial property. **B1**
- ◆ **Ferrari backed its** full-year guidance as more car deliveries and customization requests helped it deliver forecasting-beating first-quarter earnings. **B4**
- ◆ **Cereal maker WK Kellogg** cut its guidance to account for tariff impacts and a weaker first-quarter performance than it had been expecting. **B3**
- ◆ **Hugo Boss reported** a better-than-expected first-quarter performance supported by cost control, and backed its full-year guidance. **B3**

World-Wide

- ◆ **The U.S. is stepping up** its intelligence-gathering efforts regarding Greenland, drawing America's spying apparatus into Trump's campaign to take over the self-governing island, which forms part of the kingdom of Denmark. **A1**
- ◆ **India said it conducted** military strikes on nine sites in Pakistan in retaliation for a deadly militant attack on tourists in Kashmir in April. **A7**
- ◆ **Germany's Parliament** voted to make Friedrich Merz the country's chancellor, but lawmakers needed a second round of balloting to seat him. **A1**
- ◆ **Prime Minister Mark Carney** told Trump that Canada is "not for sale" after Trump reiterated his call for Canada to become the 51st state. **A4**
- ◆ **China's central bank** said it would cut interest rates and inject more liquidity into the financial system to bolster the economy in response to trade tensions with Washington. **A8**
- ◆ **Treasury Secretary Bessent** and U.S. Trade Representative Greer are traveling to Switzerland on Thursday to meet China's lead economic representative, potentially paving the way for broader trade talks. **A4**
- ◆ **The Supreme Court** reinstated the Trump administration's ban on transgender individuals serving in the military, setting aside a federal judge's finding that the blanket exclusion violated the Constitution's equal-protection guarantee. **A3**
- ◆ **Trump said the U.S.** reached a truce with the Houthis in Yemen and would suspend its airstrikes there, claiming the militants would no longer target ships. **A6**

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India Strikes Pakistan Over Kashmir Attack



RETALIATION: Soldiers inspect a collapsed Pakistani government building after Indian strikes early Wednesday. India said the action was in response to an attack on tourists in Kashmir, intensifying a confrontation between the two nuclear powers. **A7**

U.S. Steps Up Greenland Spying

Intelligence push shows seriousness of Trump's designs on the Arctic island

By KATHERINE LONG AND ALEXANDER WARD

The U.S. is stepping up its intelligence-gathering efforts regarding Greenland, drawing America's spying apparatus into President Trump's campaign to take over the island, according to two people familiar with the effort.

Several high-ranking officials under Director of Na-

tional Intelligence Tulsi Gabbard issued a "collection emphasis message" to intelligence agency heads last week directing them to learn more about Greenland's independence movement and attitudes toward U.S. resource extrac-

tion on the island. The classified message also asked agencies—whose tools include surveillance satellites, communications intercepts, and spies on the ground—to identify people in Greenland and Denmark who support U.S. objectives for the island.

The directive is one of the first concrete steps Trump's administration has taken to-

ward fulfilling the president's oft-stated desire to acquire Greenland.

A collection emphasis message helps set intelligence agency priorities, directing resources and attention to high-interest targets. The Greenland order—which went to agencies including the Central Intelligence Agency, Defense Intelligence Agency, and National Security Agency—underscores the administration's apparent commitment to seeking control of the self-governing island, which today forms part of the kingdom of Denmark, a NATO member and decadeslong ally.

National Security Council spokesman James Hewitt said the White House doesn't comment on intelligence matters, but noted "the president has been very clear that the U.S. is concerned about the security of Greenland and the Arctic."

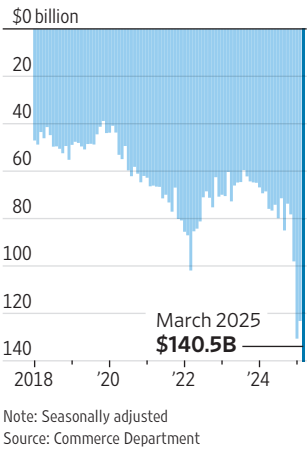
In a statement, Gabbard said: "The Wall Street Journal should be ashamed of aiding deep state actors who seek to undermine the President by politicizing and leaking classified information. They are breaking the law and undermining our nation's security and democracy."

The Danish Embassy in Washington said it was "pleased to see the U.S. government's commitment to transparency and democracy."

Stockpiling Swells Deficit

The U.S. trade deficit rose 14%, as businesses stocked up ahead of Trump's tariffs. **A4**

U.S. trade deficit in goods and services



Note: Seasonally adjusted
Source: Commerce Department

Washington's Trade War Spurs Other Nations to Make Deals

By MAX COLCHESTER AND KIM MACKRAEL

The U.S. is backing away from free trade under President Trump, but much of the rest of the world is not.

Since Trump's election there has been a flurry of activity as countries across the globe attempt to deepen trade ties, hoping to offset some of the pain from U.S. tariffs by trading more with one another.

On Tuesday, the U.K. and India announced the completion of a trade agreement that had been stuck for several years. The European Union is negotiating its own deal with India and recently agreed on one

with South America's Mercosur trading bloc. Canada and Asian countries are also dusting off old trade deals. The Comprehensive and Progressive Agreement for Trans-Pacific Partnership, a trade club consisting of 12 countries, is considering new applicants, including Costa Rica and Indonesia.

The activity has accelerated since Trump was reelected, and is based on the idea that even if the U.S. accounts for 26% of global economic output, it accounts for just 13% of global imports, leaving plenty for the rest of the world to exchange.

"The U.S. is acting as an accelerant to the lowering of

tariffs by everyone else," said Alan Wolff, a senior fellow at the Peterson Institute for International Economics and former deputy director-general of the World Trade Organization. He said the European Union, Canada and others are seeking to boost trade with other partners now.

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Sale or No Sale, Canada?

Carney rebuffs Trump on talk of country becoming 51st state..... **A4**

Tariffs Herald Wedding Season Of Costco Flowers, American Wine

Couples planning their big day are making tough choices; no more giant flower arch

By CHAVIE LIEBER

Kelly Elizabeth planned on dazzling guests at her Newport, R.I., wedding with wines from France and Italy that matched each person's preference. She was narrowing in on European vendors when her fantasy was shattered by an uninvited guest: President Trump, who in April announced a 20% duty on European imports.

While most of Trump's tariffs have been put on pause, so have Elizabeth's dreams of Bordeaux and Chianti.

"When you hear about these tariffs, you want to evaluate everything," said the 30-year-old, who works in corporate communications.

Brides are buckling under the uncertainty over tariffs, which are threatening to push

costs to new heights as wedding season kicks off. They are panic-buying candles and speed-ordering wedding dresses. They are downgrading from roses to carnations, cutting back on party favors and ditching the professional videographer for a guy with a smartphone.

In Elizabeth's case, the European wines were scrapped for American ones. She nixed the personalized T-shirts she'd hoped to give guests and will hand out cookies instead. She bulk-ordered napkins and tablecloths and found other ways to cut her "tablescape" budget.

"I'm a design-heavy bride, but I figured I don't need to order 200 wicker chargers," said Elizabeth.

For some brides who set budgets before April, the tariff

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INSIDE



PERSONAL JOURNAL
Domestic fliers face deadline Wednesday for REAL ID at airport security. **A9**



SPORTS
The 18-degree adjustment that gave slugger Aaron Judge a huge lift. **A12**

Air-Traffic Control In Chaos: 'We Don't Have a Radar'

After tech failures and near misses, Trump administration pledges overhaul

By ANDREW TANGEL

At about 1:30 in the afternoon on April 28, air-traffic controllers overseeing the busy airspace around Newark Liberty International Airport suddenly faced a frightening scenario.

The chatter from pilots they were communicating with went silent. Radar screens filled with dots showing aircraft positions went dark. Backup systems failed. Planes bound for the area went into holding patterns.

About 90 seconds later, the traffic-control systems started blinking back to life. But problems lingered with the radar, and controllers worried the radios would go out again.

Germany Elevates Leader After Vote Fails Once

Need for second round to confirm Merz as chancellor puts agenda at risk

By BERTRAND BENOIT

BERLIN—Germany's Parliament voted on Tuesday to make Friedrich Merz the country's chancellor, but lawmakers needed a second round for the first time in the nation's postwar history, raising questions about the new government's ability to enact its ambitious policy agenda.

The failure of the first vote came despite Merz's proposed coalition holding a relatively comfortable 12-seat majority. Since the vote is secret and no dissenter has come forward, it isn't clear why a dozen members of the conservative's proposed coalition didn't initially back him.

In the end, the new chancellor's swearing in was only postponed for a few hours, but the chaotic transfer of power is more than a simple embarrassment.

Merz has pledged to rebuild Germany's leadership in Europe, end a slow-burn immigration crisis that has poisoned European politics, and reboot the world's third-largest economy, which has barely grown since before the Covid-19 pandemic.

Six months after Olaf Scholz's government collapsed after losing its parliamentary majority, Berlin's partners have been waiting for a new leader to take the reins. Europe has yet to formulate a response to President Trump's efforts to end the war in Ukraine.

As one of the world's largest exporters, Germany is also expected to be a strong voice in the discussion about how to respond to Trump's proposed tariffs, whose implementation is now suspended until the summer.

The government is on notice to show that it can restore parliamentary discipline in its own ranks and ensure that it can pass legislation, however controversial or ambitious, said Ursula Münch, director of the Academy for Political Education in Tutzing, in southern Germany.

"Trust in politicians and the government is already low and this won't help to re-establish it," she said. "Hopefully, staring into the abyss will have had a cathartic effect on lawmakers."

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